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Solution

In the books of Niruban

Balance sheet as on 31st December, 2017

Liabilities	`	`	Assets	`	`
Capital	15,00,000		Land and building		6,00,000
Add: Net profit	6,20,000		Plant and machinery		8,00,000
	21,20,000		Furniture		1,50,000
Less: Drawings	1,30,000	19,90,000	Investments (short-term)		80,000
Creditors		2,40,000	Stock in trade		4,00,000
Bills payable		60,000	Debtors		3,20,000
Bank overdraft		1,80,000	Bills receivable		1,00,000
			Cash in hand		20,000
		24,70,000			24,70,000

Illustration 12

From the following information, prepare trading and profit and loss account of Abdul Rahuman for the year ending 31st December, 2016 and balance sheet as on that date. The closing stock on 31st December, 2016 was valued at ` 2,000.

Particulars	`	Particulars	`
Opening stock	500	Purchases	1,300
Sales	5,000	Wages	700
Discount received	500	Salary	500
Building	50,000	Capital	50,000
Cash in hand	4,500		

Solution

In the books of Abdul Rahuman

Dr.Trading and profit and loss account for the year ending 31st December, 2016 Cr.

Particulars	`	Particulars	`
To Opening stock	500	By Sales	5,000
To Purchases	1,300	By Closing stock	2,000
To Wages	700		
To Gross profit c/d	**4,500**		
	7,000		7,000
To Salary	500	By Gross profit b/d	4,500
To Net profit	**4,500**	By Discount received	500
(transferred to capital account)			
	5,000		5,000